

Implications for Investors

Investors too often give more attention to forecast outcomes than to new data that actually describes emerging outcomes. Many wealth management practitioners have observed clients who are unable to rationally act on updated information regarding their investments because the clients are “stuck” on prior beliefs. The inset following lists three behaviors stemming from conservatism bias that can cause investment mistakes.

CONSERVATISM BIAS: BEHAVIORS THAT CAN CAUSE INVESTMENT MISTAKES

1. Conservatism bias can cause investors to cling to a view or a forecast, behaving too inflexibly when presented with new information. For example, assume an investor purchases a security based on the knowledge that the company is planning a forthcoming announcement regarding a new product. The company then announces that it has experienced problems bringing the product to market. The investor may cling to the initial, optimistic impression of some imminent, positive development by the company and may fail to take action on the negative announcement.
2. When conservatism-biased investors do react to new information, they often do so too slowly. For example, if an earnings announcement depresses a stock that an investor holds, the conservative investor may be too slow to sell. The preexisting view that, for example, the company has good prospects, may linger too long and exert too much influence, causing an investor exhibiting conservatism to unload the stock only after losing more money than necessary.
3. Conservatism can relate to an underlying difficulty in processing new information. Because people experience mental stress when presented with complex data, an easy option is to simply stick to a prior belief. For example, if an investor purchases a security on the belief that the company is poised to grow and then the company announces that a series of difficult-to-interpret accounting changes may affect its growth, the investor might discount the announcement rather than attempt to decipher it. More clear-cut and, therefore, easier to maintain is the prior belief that the company is poised to grow.